Microsoft Corporation (MSFT)

The capex moat is structural

Analyst: Justin Wen

*The capex moat is structural. Power constraints on new data centers favor incumbents with capital. Microsoft funds its own power supply, locking tier-two competitors out of frontier AI training. Overvalued but high quality. Our DCF gives Bear $303.54 / Base $390.00 / Bull $480.37, blended $390.98, 26% below the $529.05 spot. The market prices in a 19.7% five-year revenue CAGR, above our 16% Bull case. Hold, Valuation Concerns. We rate Microsoft HOLD. The assumptions are reasonable, but the price demands more than our 12% base CAGR can deliver. A pullback toward $390 would make it constructive. Our framework screens it as a **Hold** with a $390.98 blended target, 26% below the current price.*

HOLD	$390.98	-26%	$529.05
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Overvalued but high quality. Our DCF gives Bear $303.54 / Base $390.00 / Bull $480.37, blended $390.98, 26% below the $529.05 spot. The market prices in a 19.7% five-year revenue CAGR, above our 16% Bull case.

Hold, Valuation Concerns. We rate Microsoft HOLD. The assumptions are reasonable, but the price demands more than our 12% base CAGR can deliver. A pullback toward $390 would make it constructive.

$529.05	$331.8B	50.9%	34.9%	1.099	$390
PRICE (18-OCT-26)	FY2026 REVENUE	FY2026 EBIT MARGIN	FY2026 CAPEX INTENSITY	BETA (5Y)	DCF BASE TARGET

The moat is scarcity premium in compute

Power constraints on new data centers favor incumbents with capital. Microsoft funds its own primary power (nuclear PPAs, utility upgrades), locking tier-two competitors out of frontier AI training.

Three scenarios make the valuation range explicit

The DCF values Microsoft Corporation across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$303.54**	-43%
Base	50%	**$390.00**	-26%
Bull	25%	**$480.37**	-9%

Bear ($303.54, -43%) marks the downside case (growth disappoints, multiple compresses); **Bull ($480.37, -9%)** marks the upside case (execution compounds, multiple rerates).

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The probability-blended target implies -26% upside

Blended target: $390.98 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -26% upside from the $529.05 reference price.

$390.98

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 22.3x [Mkt 18-Oct-26] DCF Base $390.00 [DCF 18-Oct-26] PEG 1.72 [Mkt 18-Oct-26] EV/Revenue 11.9x [Mkt 18-Oct-26] DCF implies 26% downside at $529.05. Forward earnings price high growth at a reasonable PEG; the multiple is full relative to the 19.7% implied revenue CAGR.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $390.98 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Scarcity premium in compute. Power constraints on new data centers favor incumbents with capital. Microsoft funds its own primary power (nuclear PPAs, utility upgrades), locking tier-two competitors out of frontier AI training. [Research note]

Azure is the growth engine. FY2026 revenue of $331.8B grew 17.8% with Azure as the primary driver. Copilot integration across Office 365 and Dynamics expands ARPU and monetizes the infrastructure spend downstream. Enterprise lock-in makes this revenue base exceptionally durable. [10-K FY2026]

Elite profitability. FY2026 gross margin 67.9%, EBIT margin 50.9% ($169.0B), net margin 40.3%. These are best-in-class software economics that fund the AI build-out from operating cash flow ($182.9B in FY2026) without straining the balance sheet. [10-K FY2026]

Fortress balance sheet. $20.9B cash against $56.8B total debt (net debt $35.9B) on a $3.93T market cap is effectively unlevered. The balance sheet funds multi-gigawatt energy infrastructure that competitors cannot match. [10-K FY2026]

What to monitor

Late-Oct-26. Q1 FY2027 print: Azure growth rate, AI-workload contribution to Azure, and commercial bookings are the read-through metrics for the capex cycle.

2027-Q2. Capacity ramp: whether the next wave of AI data center capacity converts to Azure revenue growth above 30% without further capex intensity creep.

Ongoing. Capital allocation: shareholder returns (dividends/buybacks) vs the AI build-out. Any capex normalization signal would re-rate the FCF engine materially.

$529.05	$331.8B	50.9%	34.9%
PRICE (18-OCT-26)	FY2026 REVENUE	FY2026 EBIT MARGIN	FY2026 CAPEX INTENSITY

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Key risks

Capex intensity persists. FY2026 capex was $115.9B (34.9% of revenue), up from 22.9% in FY2025. If this intensity persists, free cash flow margins stay in the low 20s and the DCF base target falls further. The model assumes normalization to 14%; that is a forecast judgment, not a filing fact. [10-K FY2026]

Power constraints cut both ways. Data center power constraints are currently an advantage, but they can also slow Microsoft's own capacity additions and raise costs. AWS and Google can match the capital spend, keeping cloud pricing competitive and capping Azure's pricing power. [Research note]

Perfection is priced in. At $529.05, the stock embeds a 19.7% 5-year revenue CAGR per the reverse DCF, above the 16% Bull case. Any Azure deceleration or margin slip would force a painful multiple compression from EV/Revenue 11.9x. [Mkt 18-Oct-26]

Investment view

Azure growth decelerating below 25% or capex intensity persisting above 25% of revenue would cut the FCF engine and our targets. Sustained 30%+ Azure growth with capex normalizing toward 15% of revenue would support a rerating toward the $480 Bull case.

Hold. The $390.98 blended target implies -26% upside, balancing the $303.54 / $390.00 / $480.37 Bear / Base / Bull targets.

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Upcoming catalysts

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